



Quarterly Investment Report

Q4 2024 - Thames Water UPS (Closed Section)

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	52.6%	+1.06%	-0.17%
Credit	20.5%	-0.83%	-1.36%
Equities	9.0%	+1.76%	+4.95%
Property	8.0%	+1.99%	-4.87%
Cash	6.6%	+0.83%	+3.74%

Market Commentary

During Q4 2024, gilt yields moved by approximately -44bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.